Eidi Digital Bond Program (EDBP)

White Paper: Trend Analysis, Policy Framework & Implementation Roadmap

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Document Control

| Field | Detail |

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Executive Summary

Every year, Pakistan experiences a predictable but structurally unmanaged surge in physical cas

h demand

The Eidi Digital Bond Program (EDBP) proposes a culturally resonant, technically feasible, and fiscally disciplined alternative: small-denomination, government-guaranteed digital bonds that can be purchased before Eid, gifted digitally, and cashed out instantly on Eid via RAAST-linked accounts.

This is not monetary expansion. Citizens purchase bonds using existing digital money. The State Bank receives upfront liquidity. Redemption releases funds already in the system. No new currency is printed.

Why Now - Five Converging Trends (2024-2026)

| Trend | Signal | Relevance to EDBP |

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Estimated Impact (Conservative)

| Metric | Estimate | Basis |

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Recommendation

Launch EDBP as a regulated pilot under SBP supervision in partnership with CDNS, integrated with RAAST and distributed through licensed banks and EMIs - timed to Ramadan/Eid 2027. Scale nationally upon KPI validation.

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1. Introduction & Cultural-Economic Context

1.1 What Is Eidi?

Eidi (????) is a cherished Islamic cultural practice of giving cash gifts to children, younger

relatives, (

This cultural universality makes Eidi a uniquely powerful financial inclusion lever: every household participates; every child is a potential recipient; every adult is a potential sender.

1.2 The Missed Opportunity

Pakistan has invested heavily since 2019 in digital payments infrastructure - RAAST, Asaan Digi

tal Accour

- Citizens queue at bank branches for fresh notes

- ATMs ar

EDBP reframes Eidi from a cash logistics problem into a national financial capability moment.

1.3 Program Thesis

> Replace the medium of Eidi - not the tradition of Eidi.

An Eidi Digital Bond preserves the ritual of giving while routing value through regulated digital rails, creating traceability, safety, optional savings, and temporary sovereign financing - without expanding money supply.

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2. Problem Statement: The Eid Cash Shock

2.1 Seasonal Cash Demand

Pakistan's Eid economy generates substantial, predictable cash extraction from the banking system:

| Indicator | Reported Scale | Source Context |

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Note: SBP does not publish real-time Eid-specific withdrawal series; figures reflect historical press and research estimates. A pilot should establish baseline telemetry.

2.2 Operational Strain

The Eid cash shock creates systemic friction:

1. ATM congestion - Long queues, out-of-cash events, urban branch overcrowding

2. Bank lic
cycles)

2.3 Currency Management Cost Context

Pakistan's currency management costs are material and rising:

- PKR 10 note printing alone: PKR 8-10 billion annually (~35% of all notes printed)

- 10-year c

EDBP does not replace denomination reform - it complements it by reducing seasonal demand for physical notes across all denominations used in Eidi (PKR 50-5,000).

2.4 Financial Inclusion Gap

Despite progress (16% -> 64% bank account ownership, 2015-2023), Pakistan's NFIS 2024-28 acknowledges a persistent barrier:

> *"General preference for cash embedded in the culture."*

> - NFIS 2

Eidi is the exception where digital giving can be socially encouraged without fighting cultural cash preference - because the sender wants convenience and the receiver wants instant value.

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3. Global & Regional Trend Analysis

3.1 Trend 1 - Tokenized Government Bonds for Retail Investors

Status: Accelerating globally; emerging markets leapfrogging legacy bond market infrastructure.

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| Jurisdiction | Initiative | Key Feature | Lesson for Pakistan |
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The Philippines model is the closest analog: 94 million GCash users can access government bonds from PHP 500 through an app they already use. Pakistan's JazzCash (40M+ users) and Easypaisa (35M+ active) provide equivalent distribution scale.

Strategic insight: EDBP is not experimental in a global vacuum - it is a localized, seasonal, micro-denomination variant of a validated policy trend.

3.2 Trend 2 - Digital Vouchers & Purpose-Bound Money

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| Jurisdiction | Program | Mechanism |
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Common thread: Central banks distinguish between CBDC (money creation) and digital vouchers/bonds (existing money, programmed use). EDBP falls in the latter category - a critical distinction for SBP monetary policy credibility.

3.3 Trend 3 - Instant Payment Rails as National Infrastructure

Pakistan's RAAST places the country among leading instant-payment adopters:

| Metric | RAAST Performance |

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RAAST's Bulk Payments module - already identified by CDNS for profit payments and investment encashment - is the natural settlement backbone for EDBP redemption.

3.4 Trend 4 - Mobile Wallets as Primary Bank for the Masses

| Platform | Scale | Strategic Role in EDBP |

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Trend conclusion: Pakistan has achieved distribution scale before achieving cultural cash displacement. EDBP targets the cultural moment.

3.5 Trend 5 - Scripless Government Savings (Domestic Precedent)

Pakistan is already transitioning government savings instruments to digital:

- Digital Prize Bonds (Registered) Rules, 2024 - Notified by Finance Division

- CDNS m

EDBP should be architected as a sibling instrument to Digital Prize Bonds - not a competing silo - sharing KYC, registry, and settlement infrastructure.

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4. Pakistan Macro Trends & Policy Alignment

4.1 NFIS 2024-28 Alignment Matrix

| NFIS Goal | EDBP Contribution |

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4.2 SBP "Go Cashless" & Financial Literacy Week

SBP Deputy Governor Saleem Ullah's 2025 "Go Cashless" drive explicitly targets behavioral shift from cash to digital. EDBP provides a concrete product for that campaign - not just awareness messaging.

4.3 Currency Reform Complementarity

The 2026 SBP/PSPC recommendation to replace PKR 10 notes with coins (saving PKR 40-50B over 10 years) addresses structural note cost. EDBP addresses seasonal note demand. Together, they form a coherent currency modernization agenda.

4.4 Political Economy Considerations

EDBP is politically viable because it:

- Respects Islamic cultural practice (not a "war on cash")

- Benefits

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5. The Eidi Digital Bond - Instrument Design

5.1 Definition

An Eidi Digital Bond (EDB) is a short-duration, scripless, government-guaranteed digital savings instrument issued specifically for Eid gifting, denominated in Pakistani Rupees, transferable between KYC-verified wallets, and redeemable at par during designated Eid windows via RAAST.

5.2 Core Properties

| Property | Specification |

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5.3 What EDB Is - and Is Not

| EDB Is | EDB Is Not |

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5.4 Comparison to Adjacent Instruments

| Feature | EDB | Digital Prize Bond | RAAST P2P Transfer | Prepaid Gift Card |

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6. Program Architecture & User Journey

6.1 Three-Step Flow

???????????????   ???????????????   ???????????????

? 1. BUY

6.2 Detailed User Journey - "Ali & Sara"

| Step | Actor | Action | Backend Event |

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Total time: < 60 seconds per transaction. No ATM. No branch. No cash handling.

6.3 Distribution Channel Architecture

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6.4 Child & Minor Wallet Framework

| Age Group | Account Type | Requirements |

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This structure supports NFIS youth inclusion goals and creates first account at first Eidi - a lifelong financial services entry point.

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7. Economic & Fiscal Analysis

7.1 Cost Avoidance Model

| Cost Category | Annual Estimate (PKR) | EDBP Displacement Assumption | Savings (PKR) |
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Methodology note: Author's original estimate of PKR 7-12B printing savings aligns with this model when Eid-related printing share is assumed at 25-40% of total note production costs.

7.2 Temporary Government Financing Benefit

Purchase-to-redemption float:

If 20 million citizens purchase an average of PKR 2,000 in EDBs during a 25-day Ramadan window, gross issuance = PKR 40 billion held by government until Eid redemption.

| Scenario | Issuance Volume | Avg. Hold Period | Implied Float |
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At current SBP policy rate, even a zero-coupon instrument provides fiscal breathing room equivalent to a short-term T-bill auction - without auction friction.

Critical safeguard: Float must be ring-fenced in a segregated redemption reserve account at SBP, fully backed 1:1. This is not deficit financing.

7.3 Financial Inclusion Economic Returns

Research on financial inclusion consistently links account ownership to:

- Higher formal savings rates

- Improved

EDBP creates 2 touchpoints per gift (sender + receiver), doubling onboarding potential vs. a unilateral government campaign.

7.4 Fintech & Banking Revenue (Secondary Effects)

| Stakeholder | Revenue / Value Driver |
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8. Monetary Policy & Inflation Safeguards

8.1 The Closed-Loop Principle

EDBP operates as a closed-loop monetary circuit:

1. Purchase: Digital money leaves citizen wallet -> enters government bond registry (SBP/CDNS account)

2. Gift: Bo

Net change in M0 (currency in circulation): Negative or neutral - never positive.

8.2 Distinction from Money Printing

SBP defines currency printing drivers as:

- Replacement of soiled notes

- Currency

EDBP involves none of these expansionary mechanisms. It is economically equivalent to:

> Citizens temporarily buying a 30-day T-bill and gifting the claim to a relative who redeems it on Eid.

8.3 SBP Safeguards (Recommended)

| Safeguard | Implementation |

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9. Regulatory & Legal Framework

9.1 Proposed Legal Basis

| Instrument | Applicable Law / Rule |

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9.2 Regulatory Architecture

Finance Division (Policy Owner)

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9.3 EMI & Bank Participation Framework

Participating institutions should sign a Standard EDBP Participation Agreement covering:

- API integration specifications

- KYC relia

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10. Technology & Interoperability

10.1 Core Technical Components

| Component | Function | Existing Asset |

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10.2 API-First Design (For Fintech Partners)

Minimum viable API endpoints:

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POST /edb/purchase        - Buy bonds from wallet
POST /edb/
```

10.3 Security Standards

- End-to-end encryption for bond transfer messages
- Multi-fac

10.4 No Blockchain Required (Phase 1)

Unlike Philippines GBonds (DLT registry), Pakistan can launch EDBP on centralized CDNS registry integrated with RAAST - faster, cheaper, regulator-native. DLT may be evaluated in Phase 3 if interoperability with regional markets is desired.

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11. Stakeholder Roles & Commercial Model

11.1 Stakeholder Matrix

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| Stakeholder | Role | Incentive |
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11.2 Fee Structure (Recommended - Zero Consumer Cost)

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| Party | Fee | Rationale |
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12. Risk Assessment & Mitigation

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| # | Risk | Likelihood | Impact | Mitigation |
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13. Implementation Roadmap (18 Months)

Phase 0 - Policy Design (Months 1-3)

| Task | Owner | Deliverable |

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Phase 1 - Build & Integrate (Months 4-8)

| Task | Owner | Deliverable |

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Phase 2 - Pilot (Months 9-12)

| Parameter | Specification |

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Phase 3 - National Rollout (Months 13-18)

| Task | Detail |

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Phase 4 - Institutionalize (Month 18+)

- Annual NFIS reporting inclusion

- Academi

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14. KPIs, Monitoring & Research Agenda

14.1 Program KPIs

| KPI | Year 1 Target | Year 3 Target |

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14.2 Research Questions for Academia

1. Does digital Eidi increase child savings rates vs. cash Eidi?

2. What is

Suggested methodology: Difference-in-differences using pilot cities vs. control cities; partnership with SBP Research Department and LUMS/IBA/State Bank training institutes.

14.3 SBP Reporting Integration

EDBP metrics should be added to the Quarterly Payment Systems Review as a supplementary table - giving banking professionals and researchers standardized data series.

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15. Optional Product Extensions

15.1 Eidi Savings Mode

- Recipient opts to hold EDB beyond Eid

- Auto-cor

15.2 Donation Bonds

- Sender purchases EDB -> transfers to registered charity (Edhi, Shaukat Khanum, etc.)

- Charity r

15.3 Family Group Eidi

- Multiple family members contribute to a pooled EDB

- Recipien

15.4 Corporate Eidi Program

- Employers distribute EDBs to employees' children

- Bulk issu

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16. Policy Recommendations

For Government (Ministry of Finance)

1. Approve EDBP in principle as a flagship NFIS 2024-28 initiative

2. Issue E

For State Bank of Pakistan

1. Charter an EDBP Task Force (Payments Systems Dept. + Banking Policy + Research)

2. Integrat

For Banks & Fintechs

1. API integration with CDNS EDB Gateway by Q4 2026

2. UX inve

For Researchers & Universities

1. Apply for SBP Research Department partnership for pilot evaluation

2. Publish

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17. Conclusion

The Eidi Digital Bond Program sits at a rare intersection: cultural tradition, fiscal discipline, financial inclusion, and existing digital infrastructure - all aligned in the same direction.

Pakistan has already built the rails (RAAST), the wallets (80M+ accounts), the regulatory frame

work (Digi

EDBP is that product.

For banking professionals, it represents a scalable, low-risk, high-volume seasonal product wit

h clear int

The infrastructure is built. The culture is ready. The economics are favorable. The time to pilot is now.

Annexes

Annex A - Glossary

| Term | Definition |

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Annex B - Denomination Ladder Rationale

| Denomination | Typical Use Case |

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Annex C - Pilot City Selection Criteria

1. High mobile wallet penetration

2. RAAST

Annex D - Sample Regulatory Text (Draft Clause)

> *"The Federal Government may issue Eidi Digital Bonds in scripless, registered form for the p

urpose of

Annex E - Implementation Checklist (Quick Reference)

- [ ] Cabinet approval in principle

- [ ] SRO c

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Pakistan - Fintech

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Global - Tokenized Bonds & Digital Vouchers

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Academic

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Disclaimer: This white paper is an independent policy analysis prepared for discussion purposes

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*For inqui